

Weekly — August 28, 2026

Economics Week Ahead

Next week's focus will be on the August U.S. employment report, where we expect nonfarm payroll growth to rebound to 80K, the unemployment rate to edge up to 4.2%, and average hourly earnings to rise 0.3% month over month, leaving wage growth in the low-3% range year over year. While job growth remains subdued, labor market conditions continue to look broadly balanced, with low layoffs and steady wage growth consistent with a gradual cooling, rather than a sharp deterioration.

Beyond the U.S., a busy international calendar will provide fresh insight into the global growth and inflation outlook. We expect Australia's economy to remain resilient despite slower growth in Q2, while India should continue to rank among the fastest-growing major economies even as growth moderates from its strong Q1 pace. In Brazil, growth is expected to show a loss of momentum following a robust start to the year. Elsewhere, Eurozone inflation is likely to accelerate, strengthening the case for a September ECB rate hike, while Canada's employment report and Bank of Canada meeting will offer a timely assessment of how resilient the economy remains amid escalating U.S. trade tensions.

United States:

- [Employment](#) (Friday)

Advanced Economies:

- [Eurozone CPI](#) (Tuesday), [Bank of Canada](#) (Wednesday), [Australia GDP](#) (Wednesday), [Canada Labor Force Survey](#) (Friday)

Emerging Markets:

- [India GDP](#) (Tuesday), [Brazil GDP](#) (Tuesday)

Wells Fargo Economics Week Ahead					
United States					
Indicator Releases		Period	Consensus	Wells Fargo	Prior
1-Sep	Construction Spending (MoM)	Jul	0.0%	-0.2%	-0.1%
1-Sep	ISM Manufacturing	Aug	55.1	56.4	55.6
1-Sep	Vehicle Sales (SAAR)	Aug	16.3M	16.0M	16.3M
2-Sep	Factory Orders (MoM)	Jul	0.6%	0.7%	-0.3%
3-Sep	Trade Balance	Jul	-\$89.6B	-\$85.0B	-\$73.3B
3-Sep	ISM Services	Aug	54.1	57.1	54.1
4-Sep	Average Hourly Earnings (MoM)	Aug	0.3%	0.3%	0.1%
4-Sep	Nonfarm Payrolls	Aug	58K	80K	-23K
4-Sep	Private Payrolls	Aug	50K	72K	30K
4-Sep	Unemployment Rate	Aug	4.1%	4.2%	4.1%
Fed Speakers (*Designating 2026 Voting Member)					
2-Sep	Fed Releases Beige Book (2:00p ET)				
3-Sep	Fed's Waller* in Moderated Conversation (8:30a ET)				
International					
G10 Economies		Period	Consensus	Wells Fargo	Prior
1-Sep	Eurozone CPI (MoM)	Aug	0.5%	0.6%	0.2%
1-Sep	Eurozone CPI (YoY)	Aug	3.3%	3.4%	2.9%
1-Sep	Eurozone Core CPI (YoY)	Aug	2.5%	2.6%	2.5%
2-Sep	Bank of Canada Policy Rate	2-Sep	2.25%	2.25%	2.25%
2-Sep	Australia GDP (QoQ)	Q2	0.3%	0.4%	0.3%
2-Sep	Australia GDP (YoY)	Q2	1.8%	1.9%	2.5%
4-Sep	Canada Net Change in Employment	Aug	17.5K	—	75.1K
4-Sep	Canada Unemployment Rate	Aug	6.4%	—	6.4%
Emerging Markets		Period	Consensus	Wells Fargo	Prior
1-Sep	India GDP (YoY)	Q2	7.3%	7.5%	7.8%
1-Sep	Brazil GDP (QoQ)	Q2	0.4%	0.5%	1.1%
1-Sep	Brazil GDP (YoY)	Q2	1.8%	1.9%	1.8%

Forecast as of August 28, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Economist(s)

Tom Porcelli

Chief Economist | Wells Fargo Economics
Tom.Porcelli@wellsfargo.com | 212-214-6422

Tim Quinlan

Senior Economist | Wells Fargo Economics
Tim.Quinlan@wellsfargo.com | 704-410-3283

Sarah House

Senior Economist | Wells Fargo Economics
Sarah.House@wellsfargo.com | 704-410-3282

Charlie Dougherty

Senior Economist | Wells Fargo Economics
Charles.Dougherty@wellsfargo.com | 212-214-8984

Michael Pugliese

Senior Economist | Wells Fargo Economics
Michael.D.Pugliese@wellsfargo.com | 212-214-5058

Jackie Benson

Economist | Wells Fargo Economics
Jackie.Benson@wellsfargo.com | 704-410-4468

Shannon Grein

Economist | Wells Fargo Economics
shannon.grein@wellsfargo.com | 704-410-0369

Nicole Cervi

Economist | Wells Fargo Economics
Nicole.Cervi@wellsfargo.com | 704-410-3059

Azhin Abdulkarim

Economic Analyst | Wells Fargo Economics
Azhin.Abdulkarim@wellsfargo.com | 212-214-5154

Related Information:

- [U.S. Economic Forecast](#)
- [FOMC 101](#)
- [U.S. Tariff Tracker](#)
- [U.S. Tariff Policy 101](#)
- [2026 Economic Calendar](#)

U.S. Week Ahead

Employment • Friday

We expect nonfarm payroll growth to rebound to 80K in August. July's drop in employment overstates the degree of labor market cooling, in our view, with outsized declines in leisure & hospitality and state & local government education accounting for much of the downside surprise. We look for partial reversals in both industries this month. More broadly, alternative indicators suggest job growth has stabilized, rather than continuing to deteriorate. Hiring measures from regional Fed surveys have improved in recent months, small business hiring plans have perked back up, and job openings have leveled off. Meanwhile, initial jobless claims remain near multi-decade lows, underscoring that layoffs are still contained.

We expect the unemployment rate to edge up to 4.2% in August after dipping to 4.1% in July. The decline in unemployment over the past year has been driven in part by lower labor force participation, yet we believe the recent drop overstates the extent to which labor supply growth is weakening and look for some normalization in the coming months. Additional flows into the labor force should place some upward pressure on the unemployment rate. Even so, an unemployment rate near 4.2% remains low by historical standards and points to a labor market that is broadly in balance.

Wage growth should continue to suggest a labor market that is roughly balanced and generating little upward pressure on inflation. We expect average hourly earnings to rise 0.3% in August following July's unexpectedly soft reading, leaving the year-over-year pace in the low-3% range. In general, the jobs report should reinforce the view that labor demand is tepid, but remains sufficient to keep layoffs low and support modest job growth.

[\(Return\)](#)

Advanced Economies

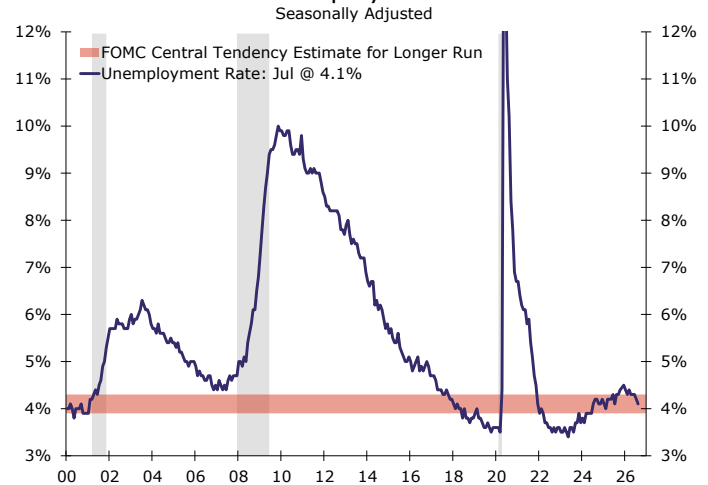
Eurozone CPI • Tuesday

We expect Eurozone inflation to accelerate in August, with headline CPI rising to 3.4% year over year (0.6% month over month) and core CPI edging up to 2.6% year over year. Strong August inflation prints from France and Spain point to a firmer Eurozone reading next week, reinforcing the case for a September European Central Bank rate hike.

July inflation had already reaccelerated, with headline CPI rising to 2.9% year over year, core inflation to 2.5% and services inflation to 3.3% year over year after easing in June. At the same time, ECB consumer inflation expectations continued to moderate, with 1-year-ahead expectations at 2.9% and 3-year-ahead expectations at 2.7% in July. While still above the ECB's 2% target, expectations have moved lower from the highs seen following the start of the conflict.

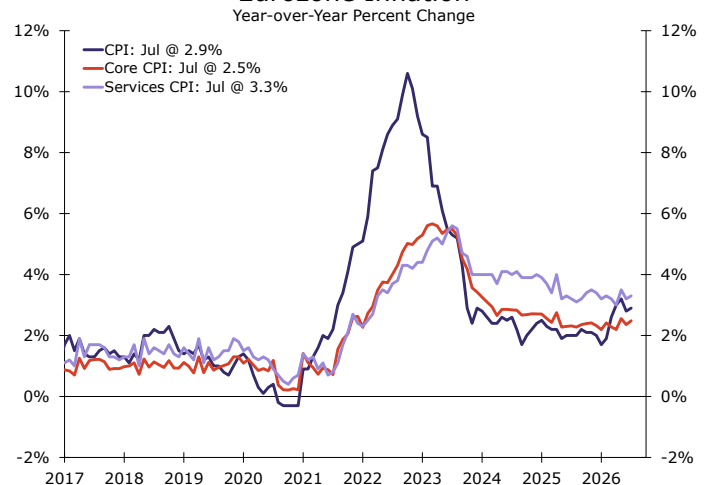
We continue to expect the ECB to raise the Deposit Rate by 25 bps to 2.50% in September. Risks remain skewed toward additional tightening if inflation continues to broaden and evidence of second-round effects becomes more apparent. For now, however, we view 2.50% as the terminal rate through 2027.

U.S. Unemployment Rate



Source: U.S. Department of Labor and Wells Fargo Economics

Eurozone Inflation



Source: Bloomberg Finance L.P. and Wells Fargo Economics

[\(Return\)](#)

Bank of Canada Monetary Policy Meeting • Wednesday

We expect the Bank of Canada (BoC) to leave the policy rate unchanged at 2.25% next week. Since policymakers opted to remain on hold at the previous meeting, incoming data have provided little reason to alter that stance. Core inflation measures have continued to track close to 2%, suggesting underlying price pressures remain well contained despite ongoing uncertainty surrounding the conflict in Iran and trade policy.

The labor market has also held up better than feared. Employment growth has remained positive, and the unemployment rate has stabilized in recent months, supporting the view that economic activity is slowing, but not deteriorating materially. While pockets of weakness remain evident across interest rate-sensitive sectors, economic conditions no longer appear soft enough to warrant additional near-term easing. The economy expanded at a 3.3% annualized clip in the second quarter, marking the strongest quarterly rate of growth in nearly two years.

The data have largely validated the BoC's decision to pause. Inflation is near target, hiring is holding up, and growth has remained surprisingly resilient. That leaves policymakers comfortably on hold, but the path forward is far less clear. A reacceleration in inflation could reopen the door to rate hikes, while escalating U.S. trade tensions raise the risk of a sharper slowdown that would warrant renewed easing. For now, those risks appear broadly balanced, giving the BoC little reason to move in either direction.

[\(Return\)](#)

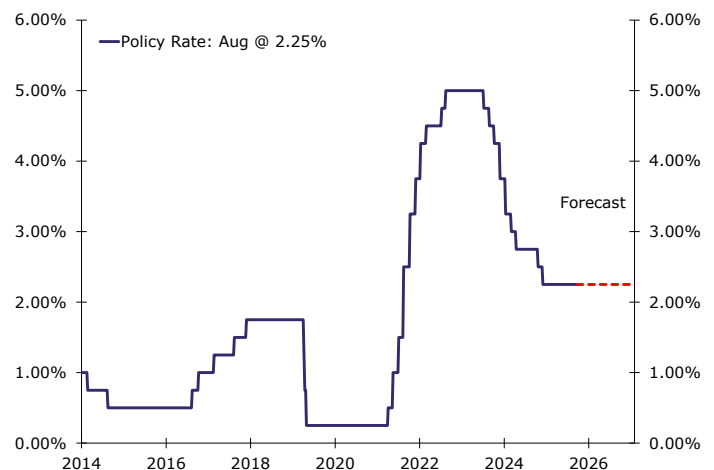
Australia GDP • Wednesday

We expect Australia's Q2 GDP growth to remain resilient at 1.9% year over year (0.4% quarter over quarter) despite headwinds from the war in the Middle East and higher interest rate. Household consumption likely provided a solid contribution to growth, while business investment was more mixed. Private capex softened in Q2, though weakness was concentrated in information media and telecommunications equipment. Excluding that category, machinery and equipment investment remained firm, while total capital expenditure was still up 10.7% year over year. Net exports likely weighed on growth again as import growth continued to outpace exports.

Overall, the economy appears to have held up well despite a challenging backdrop. With July CPI broadly in line with our expectations, but firmer than markets anticipated, a stronger-than-expected GDP print would reinforce our call for one final Reserve Bank of Australia rate hike, taking the Cash Rate to a terminal 4.60% by year-end.

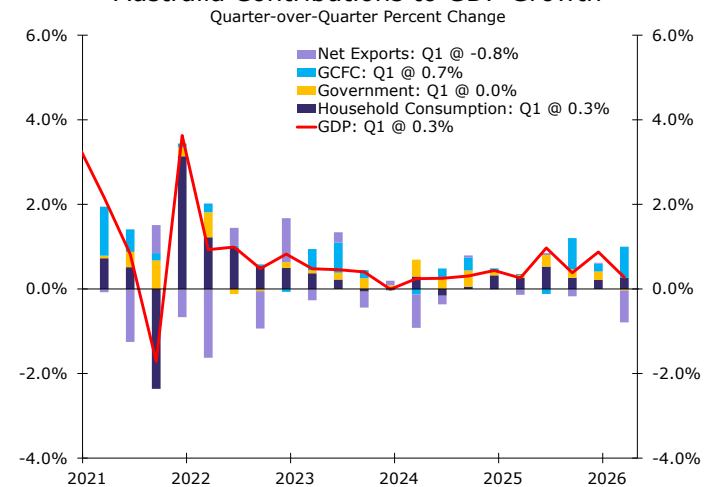
[\(Return\)](#)

Bank of Canada Policy Rate



Source: Bloomberg Finance L.P. and Wells Fargo Economics

Australia Contributions to GDP Growth



Source: Bloomberg Finance L.P. and Wells Fargo Economics

Canada Labor Force Survey • Friday

Canada's labor market has continued to strengthen in recent months. Following modest gains in the spring, employment rose by roughly 75K in July, with hiring split between full-time and part-time positions. The improvement comes alongside a pickup in economic activity, with GDP expanding at its fastest quarterly pace in nearly two years during Q2.

The unemployment rate fell to 6.4%, running near the lower end of its recent range. Slower labor force growth continues to limit upward pressure on unemployment, while hiring has proven more resilient than anticipated earlier in the year. Wage growth and other measures of labor demand continue to moderate gradually, but there is little evidence of a material deterioration in labor market conditions.

The labor market no longer appears to be deteriorating. Employment growth has improved, unemployment has stabilized, and economic growth has regained momentum. While labor demand remains far from booming, the recent data suggest Canada's economy is proving more resilient than expected and is generating enough jobs to prevent a renewed rise in unemployment. The largest near-term risk factor to watch, of course, stems from the recent escalation in trade tensions with the U.S. and how challenging that proves for domestic hiring.

[\(Return\)](#)

Emerging Markets

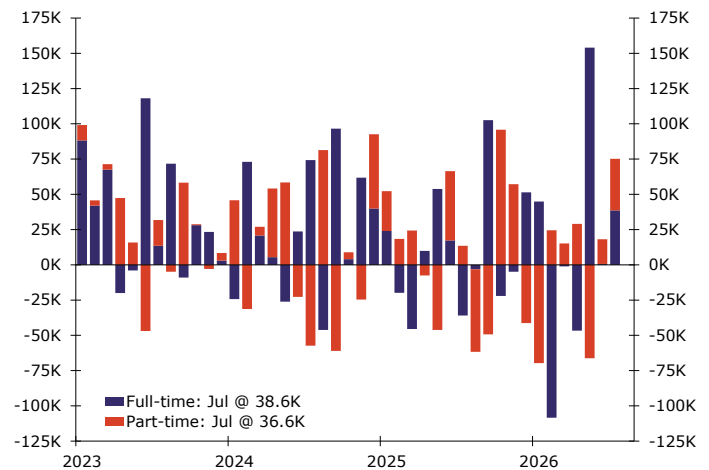
India GDP • Tuesday

We expect India's Q2 GDP growth to ease modestly to 7.5% year over year from 7.8% in Q1, though the economy should remain one of the fastest-growing among major economies. Household consumption likely stayed resilient, supported by earlier GST rate reductions and income tax cuts that boosted disposable incomes. Government investment and stronger industrial activity likely supported growth during the quarter. Industrial output accelerated through June, reaching 7.3% year over year, before easing in July. Net foreign purchases of Indian securities also picked up during Q2, pointing to improved investor sentiment. Net exports likely remained a drag on growth. While exports improved from Q1 levels, import growth continued to outpace exports, pushing the trade deficit to a record USD 32 billion in July. A weaker rupee and higher energy costs likely contributed to the deterioration in the trade balance.

Overall, growth remains resilient, though higher oil prices, rupee weakness, and prolonged geopolitical uncertainty pose increasing risks to the outlook. We continue to expect the Reserve Bank of India to raise rates in Q4 to support the currency, and a stronger-than-expected GDP print would further strengthen the case for additional tightening.

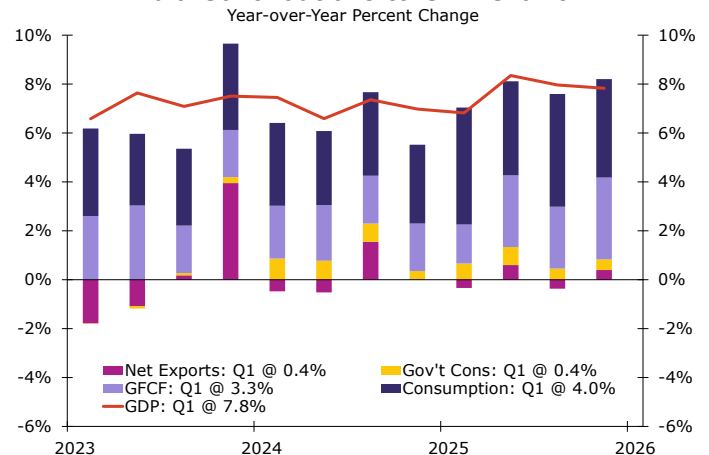
[\(Return\)](#)

Canada Monthly Employment Change



Source: Bloomberg Finance L.P. and Wells Fargo Economics

India Contributions to GDP Growth



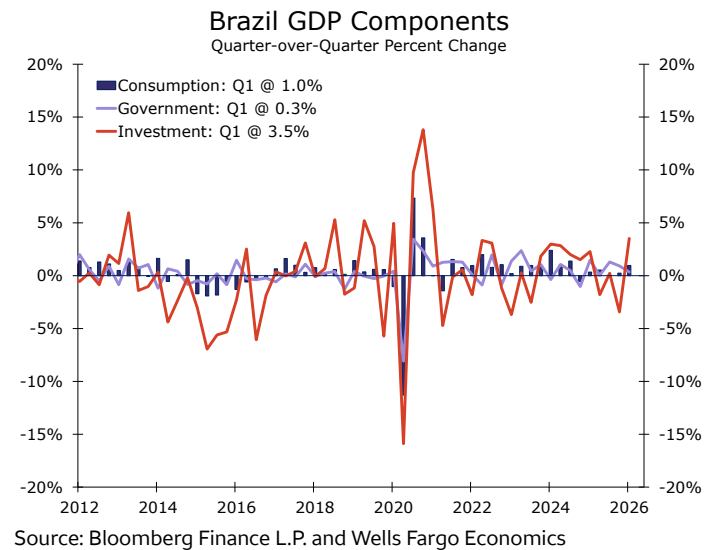
Source: Bloomberg Finance L.P. and Wells Fargo Economics

Brazil GDP • Tuesday

We expect Brazil's economy to have lost momentum in Q2, with GDP growth slowing to 0.5% quarter over quarter from 1.1% in Q1. High-frequency data point to softer activity, with the Economic Activity Index falling 0.64% month over month in June, though weakness was partly offset by the agricultural sector. Overall, growth appears consistent with a gradual moderation following the strong performance seen earlier in 2026.

Risks to the outlook are increasingly skewed to the downside as credit conditions deteriorate and delinquencies rise. With inflation continuing to ease and growth showing signs of slowing, a weaker-than-expected GDP print would reinforce our call for a Q4 rate cut, bringing the Selic Rate to 13.75% by year-end, with further easing in 2027.

[\(Return\)](#)



Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Securities, LLC ("Wells Fargo Securities"). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. Wells Fargo Securities distributes this report directly and through affiliates including, but not limited to, Wells Fargo & Company, Wells Fargo Bank, N.A., Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our internal client website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by Wells Fargo Securities. Wells Fargo Securities does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of Wells Fargo Securities.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by Wells Fargo Securities to be reliable, but has not been independently verified by Wells Fargo Securities, may not be current, and Wells Fargo Securities has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of Wells Fargo Securities and may differ from the views and opinions of other departments or divisions of Wells Fargo Securities and its affiliates. Wells Fargo Securities is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither Wells Fargo Securities nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. Wells Fargo Securities is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

You are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for your own use and for no other purpose. Without the prior written consent of Wells Fargo Securities, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. "AI Technologies" means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment. In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by Wells Fargo Securities, its affiliates or one or more third parties (collectively, "Protected Content"). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from Wells Fargo Securities or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. All rights not expressly granted herein are reserved by Wells Fargo Securities or the third-party providers from whom Wells Fargo Securities has obtained the applicable information. © 2026 Wells Fargo Securities, LLC

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority ("FCA"). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE

Monthly — August 13, 2026

U.S. Economic Outlook: August 2026

Uneven Growth and a Fed on Hold

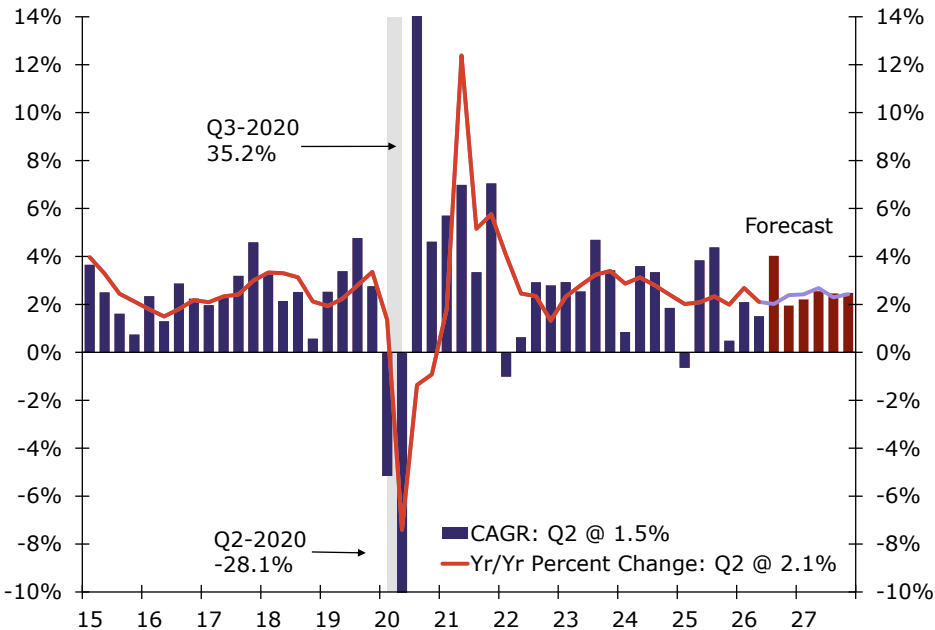
Key Themes

- **The economy is expanding, but the mix is uneven.** Real GDP growth rose at a 1.5% annualized pace in Q2, with solid consumer spending and AI-related capex offsetting drags from net exports and inventories. Growth remains resilient, but concentrated.
- **AI investment remains a key shock absorber.** High-tech related investment continues to support growth, though the boost is being partly diluted by stronger tech-related imports. There are also tentative signs investment is broadening as delayed capex plans move forward and inventory rebuilding gains traction.
- **Consumer spending is holding up, but upside looks limited.** Q2 spending remained solid, but support from tax refunds has faded, real income growth is soft and the saving rate is already low. That leaves consumption exposed to a cooler jobs market.
- **The labor market does not look as stable.** Recent hiring and wage data suggest labor demand is still soft, shifting the risks away from overheating and toward a more meaningful cooling in employment growth. Supply and demand in the jobs market remains balanced, but the margin for error has narrowed.
- **Inflation remains elevated, but the trend is improving.** Recent inflation data suggest some of the recent upward pressure from tariffs and energy is fading. Core services inflation is cooling, and broader price pressures show signs of easing. While inflation remains above target, the recent upturn appears narrow rather than broad-based.
- **The Fed remains stuck on hold.** Inflation is still above target, but the softer labor backdrop makes a hawkish pivot harder to justify. Patience remains the path of least resistance. As long as inflation remains concentrated in areas monetary policy cannot easily influence, such as energy and AI-related demand, the Fed is likely to stay put. A broader pickup in price pressures, however, would warrant a firmer policy response.

Economist(s)

Tom PorcelliChief Economist | Wells Fargo Economics
Tom.Porcelli@wellsfargo.com | 212-214-6422**Tim Quinlan**Senior Economist | Wells Fargo Economics
Tim.Quinlan@wellsfargo.com | 704-410-3283**Sarah House**Senior Economist | Wells Fargo Economics
Sarah.House@wellsfargo.com | 704-410-3282**Charlie Dougherty**Senior Economist | Wells Fargo Economics
Charles.Dougherty@wellsfargo.com | 212-214-8984**Michael Pugliese**Senior Economist | Wells Fargo Economics
Michael.D.Pugliese@wellsfargo.com | 212-214-5058**Jackie Benson**Economist | Wells Fargo Economics
Jackie.Benson@wellsfargo.com | 704-410-4468**Shannon Grein**Economist | Wells Fargo Economics
shannon.grein@wellsfargo.com | 704-410-0369**Nicole Cervi**Economist | Wells Fargo Economics
Nicole.Cervi@wellsfargo.com | 704-410-3059**Azhin Abdulkarim**Economic Analyst | Wells Fargo Economics
Azhin.Abdulkarim@wellsfargo.com | 212-214-5154

U.S Real GDP Growth



Source: U.S. Department of Commerce and Wells Fargo Economics

U.S. Forecast Table

Wells Fargo U.S. Economic Forecast																
	Actual								Forecast							
	2024				2025				2026				2027			
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
Real Gross Domestic Product (a)	0.8	3.6	3.3	1.8	-0.6	3.8	4.4	0.5	2.1	1.5	4.0	2.0	2.2	2.5	2.5	2.5
Personal Consumption	1.7	3.9	4.0	3.9	0.6	2.5	3.5	1.9	0.5	3.2	2.6	2.0	1.8	2.2	2.3	2.0
Business Fixed Investment	1.5	2.5	3.5	-3.7	9.5	7.3	3.2	2.4	10.6	8.4	8.0	5.8	5.2	6.2	4.8	5.3
Equipment	0.5	8.9	8.2	-4.3	21.4	8.5	5.3	4.3	15.8	15.2	6.9	4.8	4.5	6.0	5.0	4.0
Intellectual Property Products	6.7	0.7	2.6	-0.6	6.5	15.0	5.6	5.4	13.8	8.8	9.2	7.9	6.4	7.1	4.5	6.4
Structures	-5.0	-3.9	-2.2	-8.1	-3.1	-7.5	-5.0	-6.5	-4.7	-5.0	1.8	2.7	3.5	4.4	4.9	5.1
Residential Investment	8.2	-2.0	-4.8	4.3	-1.0	-5.1	-7.1	-1.7	-7.8	1.5	-3.2	-1.2	2.8	3.7	4.3	4.8
Government Purchases	2.3	3.3	5.4	3.3	-1.0	-0.1	2.2	-5.6	4.4	-0.8	3.2	1.1	1.1	0.8	0.8	0.8
Net Exports	-964.1	-1032.2	-1064.9	-1069.0	-1380.7	-1058.0	-955.5	-968.7	-1001.8	-1074.7	-1103.4	-1121.9	-1138.5	-1153.1	-1168.0	-1179.8
Pct. Point Contribution to GDP	-0.4	-1.0	-0.4	-0.1	-4.7	4.8	1.6	-0.2	-0.4	-1.0	-0.5	-0.3	-0.3	-0.2	-0.2	-0.2
Inventory Change	12.4	75.1	69.4	17.1	172.0	-18.3	-23.9	-15.6	-16.7	-50.8	21.4	8.4	17.5	18.2	23.4	30.5
Pct. Point Contribution to GDP	-0.8	1.2	-0.1	-0.9	2.6	-3.4	-0.1	0.1	0.2	-0.7	1.2	-0.2	0.1	0.0	0.1	0.1
Nominal GDP (a)	4.0	6.3	5.1	4.3	2.9	6.0	8.3	4.2	5.8	7.9	6.0	4.3	4.5	4.5	4.5	4.8
Real Final Sales	1.7	2.4	3.5	2.8	-3.2	7.5	4.5	0.3	1.9	2.2	2.8	2.2	2.1	2.5	2.4	2.4
Retail Sales (b)	1.8	2.5	2.3	3.9	4.5	4.1	4.4	3.0	3.9	6.4	5.8	6.0	5.0	2.5	1.9	1.7
Inflation Indicators (b)																
PCE Deflator	2.8	2.7	2.4	2.6	2.6	2.4	2.7	2.8	3.1	3.8	3.6	3.5	2.9	2.1	2.1	2.1
"Core" PCE Deflator	3.1	2.8	2.8	3.0	2.8	2.7	2.9	2.9	3.1	3.3	3.3	3.1	2.7	2.4	2.4	2.4
Consumer Price Index	3.2	3.2	2.7	2.7	2.7	2.5	2.9	2.7	2.7	3.8	3.3	3.3	2.9	1.8	2.0	1.9
"Core" Consumer Price Index	3.8	3.4	3.3	3.3	3.1	2.8	3.1	2.6	2.5	2.7	2.4	2.5	2.3	2.2	2.3	2.3
Producer Price Index (Final Demand)	1.5	2.6	2.2	3.1	3.4	2.5	3.0	3.0	3.6	5.7	4.8	4.4	3.7	2.3	2.7	2.6
Employment Cost Index	4.2	4.1	3.9	3.8	3.6	3.6	3.5	3.4	3.4	3.4	3.4	3.4	3.4	3.4	3.4	3.5
Real Disposable Income (a)	4.2	2.4	1.2	2.0	2.3	1.8	1.0	-0.9	0.9	-1.5	2.2	2.3	4.4	2.2	2.0	2.2
Nominal Personal Income (a)	7.6	5.4	3.6	4.9	6.4	4.3	4.4	2.4	3.4	3.8	4.2	4.7	4.9	4.1	4.0	4.5
Industrial Production (a)	-2.6	2.7	-2.3	-1.5	4.2	1.8	2.1	-1.9	1.1	4.0	2.3	2.3	1.1	1.0	1.1	0.5
Capacity Utilization	76.3	76.6	76.0	75.5	76.0	76.1	76.2	75.6	75.5	76.1	76.9	77.4	77.7	78.0	78.3	78.6
Federal Budget Balance (c)	-555	-209	-544	-711	-596	-30	-438	-602	-566	-198	-733	-607	-732	-186	-476	-649
Nonfarm Payroll Change (d)	203	76	72	135	20	34	23	-39	73	77	41	61	69	60	58	54
Unemployment Rate	3.8	4.0	4.2	4.1	4.1	4.2	4.3	4.5	4.3	4.3	4.2	4.2	4.2	4.2	4.1	4.1
Light Vehicle Sales (g)	15.5	15.7	15.7	16.4	16.4	16.2	16.6	15.7	15.5	16.4	16.1	15.9	16.4	16.6	16.7	16.9
Crude Oil - Brent - Front Contract (h)	81.2	84.4	78.0	73.6	74.3	65.9	67.5	62.7	76.3	93.1	81.0	78.7	77.7	76.3	74.7	73.0
Housing Starts (e)	1.4	1.3	1.3	1.4	1.4	1.4	1.3	1.3	1.4	1.3	1.3	1.2	1.3	1.3	1.3	1.4
New Home Sales, Single-Family (f)	672.3	686.3	711.3	667.7	654.0	662.7	686.7	710.7	621.7	630.7	633.8	640.8	648.5	656.9	664.1	672.1
Total Existing Home Sales (e)	4.1	4.0	4.0	4.1	4.1	4.0	4.0	4.2	4.1	4.1	4.1	4.1	4.2	4.2	4.3	4.3
S&P Case-Shiller National Home Price Index (b)	6.4	6.0	4.4	3.8	3.9	2.4	1.5	1.3	0.8	1.3	1.6	1.2	1.2	2.0	2.4	2.9
Quarter-End Interest Rates (i)																
Federal Funds Target Rate (j)	5.50	5.50	5.00	4.50	4.50	4.50	4.25	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
Secured Overnight Financing Rate	5.34	5.33	4.96	4.49	4.41	4.45	4.24	3.87	3.68	3.68	3.65	3.65	3.65	3.65	3.65	3.65
Prime Rate	8.50	8.50	8.00	7.50	7.50	7.50	7.25	6.75	6.75	6.75	6.75	6.75	6.75	6.75	6.75	6.75
Conventional Mortgage Rate	6.82	6.92	6.18	6.72	6.65	6.82	6.35	6.20	6.18	6.49	6.55	6.40	6.35	6.30	6.30	6.72
3 Month Bill	5.46	5.48	4.73	4.37	4.32	4.41	4.02	3.67	3.70	3.87	3.70	3.65	3.65	3.65	3.65	3.65
6 Month Bill	5.38	5.33	4.38	4.24	4.23	4.29	3.83	3.59	3.72	4.01	3.85	3.70	3.70	3.70	3.70	3.70
1 Year Bill	5.03	5.09	3.98	4.16	4.03	3.96	3.68	3.48	3.68	3.98	3.90	3.75	3.75	3.75	3.75	3.75
2 Year Note	4.59	4.71	3.66	4.25	3.89	3.72	3.60	3.47	3.79	4.14	4.05	3.90	3.85	3.85	3.85	3.85
5 Year Note	4.21	4.33	3.58	4.38	3.96	3.79	3.74	3.73	3.92	4.19	4.20	4.05	4.00	4.00	4.00	4.00
10 Year Note	4.20	4.36	3.81	4.58	4.23	4.24	4.16	4.18	4.30	4.44	4.55	4.45	4.40	4.40	4.40	4.40
30 Year Bond	4.34	4.51	4.14	4.78	4.59	4.78	4.73	4.84	4.88	4.91	5.10	5.05	5.00	5.05	5.05	5.10
Forecast as of: August 13, 2026																
Notes: (a) Compound Annual Growth Rate Quarter-over-Quarter																
(b) Year-over-Year Percentage Change																
(c) Quarterly Sum - Billions USD; Annual Data Represents Fiscal Year																
(d) Average Monthly Change, Thousands																
(e) Quarterly Data - Average Monthly SAAR, Millions; Annual Data - Actual Annual Total, Millions																
(f) Quarterly Data - Average Monthly SAAR, Thousands; Annual Data - Actual Annual Total, Thousands																
(g) Quarterly Data - Average Monthly SAAR, Millions; Annual Data - Actual Total Vehicles Sold, Millions																
(h) Quarterly Average of Daily Close, USD																
(i) Quarterly Data - Period End; Annual Data - Annual Averages																
(j) Upper Bound of the Federal Funds Target Range																

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics

Forecast Delta Table

Changes to the Wells Fargo U.S. Economic Forecast																
	Actual								Forecast							
	2024				2025				2026				2027			
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
Real Gross Domestic Product (a)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.32	1.43	0.39	0.03	0.05	0.05	0.04
Personal Consumption	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.92	0.15	-0.26	0.00	0.00	0.00	0.00
Business Fixed Investment	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.75	3.64	1.51	0.04	0.02	0.07	0.07
Equipment	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.36	1.03	-0.11	0.02	0.00	-0.04	0.00
Intellectual Property Products	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.94	4.03	3.35	-0.02	-0.04	-0.02	-0.02
Structures	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-1.72	2.90	0.50	0.20	0.20	0.60	0.44
Residential Investment	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	4.71	-1.40	-3.90	-0.80	-0.30	-0.10	-0.10
Government Purchases	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-2.90	2.35	0.28	-0.09	-0.19	-0.28	-0.28
Net Exports	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-3.06	17.33	19.07	22.78	27.97	32.90	37.36
Pct. Point Contribution to GDP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.14	0.33	0.03	0.06	0.08	0.08	0.07
Inventory Change	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-36.53	-22.72	0.00	0.00	0.00	0.00	0.00
Pct. Point Contribution to GDP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.71	0.23	0.37	0.00	0.00	0.00	0.00
Nominal GDP (a)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.74	1.58	0.40	-0.06	-0.01	0.01	-0.07
Real Final Sales	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.41	1.20	0.02	0.03	0.05	0.05	0.04
Retail Sales (b)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Inflation Indicators (b)																
PCE Deflator	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.01	0.01	0.01	-0.01	-0.01	-0.05	-0.07
"Core" PCE Deflator	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.01	-0.07	-0.10	-0.11	-0.10	-0.04	-0.02
Consumer Price Index	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.15	0.19	0.16	0.14	-0.02	-0.09
"Core" Consumer Price Index	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.02	0.02	0.02	0.01	-0.01	-0.01
Producer Price Index (Final Demand)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.03	-0.30	-0.25	-0.21	-0.18	0.09	0.03
Employment Cost Index	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.04	0.00	0.00	0.00	0.00	0.00	0.00
Real Disposable Income (a)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.23	-0.77	-0.06	-0.01	0.06	0.04	0.11
Nominal Personal Income (a)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.11	-0.64	-0.06	-0.05	0.00	0.00	0.00
Industrial Production (a)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.16	-0.51	-0.61	0.00	0.00	0.00	0.00
Capacity Utilization	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.03	-0.15	0.00	0.00	0.00	0.00	0.00
Federal Budget Balance (c)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-125.00	0.26	0.46	-0.72	0.00	0.00
Nonfarm Payroll Change (d)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-34.33	-33.33	-26.33	-7.67	-4.00	-4.33	-4.33
Unemployment Rate	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.06	0.01	0.02	0.02	0.02	0.02
Light Vehicle Sales (g)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.11	0.11	0.00	0.00	0.00	0.00
Crude Oil - Brent - Front Contract (h)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Housing Starts (e)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.04	0.01	-0.02	-0.02	-0.02	0.00	0.01
New Home Sales, Single-Family (f)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-1.67	23.67	15.16	11.61	12.38	11.27	8.17
Total Existing Home Sales (e)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.01	-0.10	-0.07	-0.08	-0.08	-0.08	-0.08
S&P Case-Shiller National Home Price Index (b)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.02	1.05	1.20	0.65	0.60	1.31	1.72
Quarter-End Interest Rates (i)																
Federal Funds Target Rate (j)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Secured Overnight Financing Rate	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Prime Rate	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Conventional Mortgage Rate	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.15	0.10	0.05	0.10	0.10	0.10
3 Month Bill	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.05	0.00	0.00	0.00	0.00	0.00
6 Month Bill	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.05	0.00	0.00	0.00	0.00	0.00
1 Year Bill	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.05	0.00	0.00	0.00	0.00	0.00
2 Year Note	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.05	0.00	-0.05	0.00	0.00	0.05
5 Year Note	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.10	0.05	0.00	0.05	0.05	0.05
10 Year Note	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.15	0.10	0.05	0.10	0.10	0.10
30 Year Bond	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.20	0.20	0.10	0.15	0.10	0.15

Forecast as of: August 13, 2026

Notes: (a) Compound Annual Growth Rate Quarter-over-Quarter
 (b) Year-over-Year Percentage Change
 (c) Quarterly Sum - Billions USD; Annual Data Represents Fiscal Year
 (d) Average Monthly Change, Thousands

(e) Quarterly Data - Average Monthly SAAR, Millions; Annual Data - Actual Total Houses Started, Millions
 (f) Quarterly Data - Average Monthly SAAR, Thousands; Annual Data - Actual Total Houses Started, Thousands
 (g) Quarterly Data - Average Monthly SAAR, Millions; Annual Data - Actual Total Vehicles Sold, Millions
 (h) Quarterly Average of Daily Close, USD

(i) Quarterly Data - Period End; Annual Data - Annual Averages
 (j) Upper Bound of the Federal Funds Target Range

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics

Sector Analysis

Personal Consumption Expenditures (PCE)

- Consumers keep spending, but growth should moderate ahead—we look for real PCE growth to run around a 2-2.5% annualized clip in the second half of the year.

Real PCE accelerated in Q2, rising at a 3.2% annualized pace, as larger-than-usual tax refunds helped offset the impact of higher gasoline prices due to the conflict in Iran. Spending was strong across the board in June and suggests consumption entered the third quarter with solid momentum. That said, we expect a more moderate pace of spending ahead as temporary support from tax refunds fades, real income growth remains soft, although it's improving and the saving rate hovers near historic lows. While consumption is unlikely to maintain its Q2 pace, it should remain supported by sturdy household balance sheets, particularly among higher-income households. In addition, an aging population means a larger share of consumer spending is less sensitive to the business cycle, driven by non-discretionary categories such as healthcare and financed by wealth and transfer-income rather than labor earnings alone.

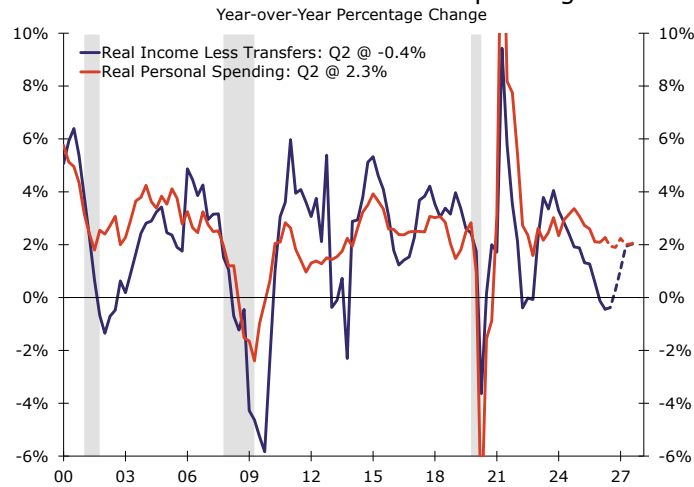
Investment: Equipment, Intellectual Property Products and Inventories

- AI continues to drive capex growth, while improving manufacturing activity hints a more broad-based capex recovery ahead.

AI-related investment continues to dominate capital allocation, with spending on software, tech-related equipment and data center construction adding 0.7 percentage points to Q2 GDP growth (before accounting for net exports). We see little evidence this spending wave is nearing an end. That said, as AI investment matures, even sustained spending at elevated levels will provide a smaller incremental boost to growth than it has in recent quarters. Beyond AI, there are tentative signs the

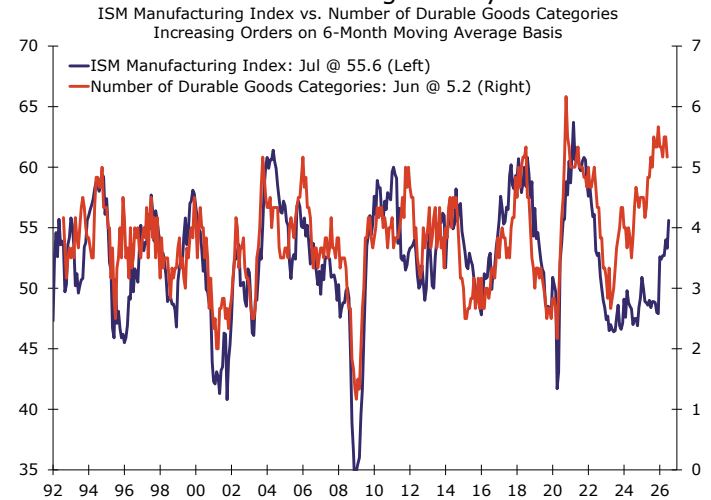
investment backdrop is broadening. The ISM manufacturing index is hovering near a four-year high, while durable goods orders have firmed across a wider range of industries. Part of this improvement likely reflects delayed capital spending plans finally moving forward, but inventory rebuilding after five consecutive quarters of drawdown is also likely providing support.

Real Personal Income vs. Spending



Source: U.S. Department of Commerce and Wells Fargo Economics

Manufacturing Activity



Source: Institute for Supply Management, U.S. Department of Commerce and Wells Fargo Economics

Investment: Residential

- We have not made major changes to our residential forecast. Adverse affordability conditions are likely to keep residential investment running at a sluggish pace this year.

A slight uptick in single-family construction earlier in the year helped lift private residential investment in Q2. However, both permits and starts have moderated in recent months as affordability challenges have put downward pressure on buyer demand. On that front, high mortgage rates and rising prices remain challenges to potential homebuyers, and elevated inventory remains a pressure point for builders. Home improvement spending also appears to be stuck in low gear amid softening income growth. Sturdy apartment demand gives multifamily construction some scope for improvement. However, with new starts muted, multifamily construction is unlikely to provide a major offset. Looking ahead, we see residential investment growing modestly in 2027 as mortgage rates edge lower and the multifamily market finds better balance.

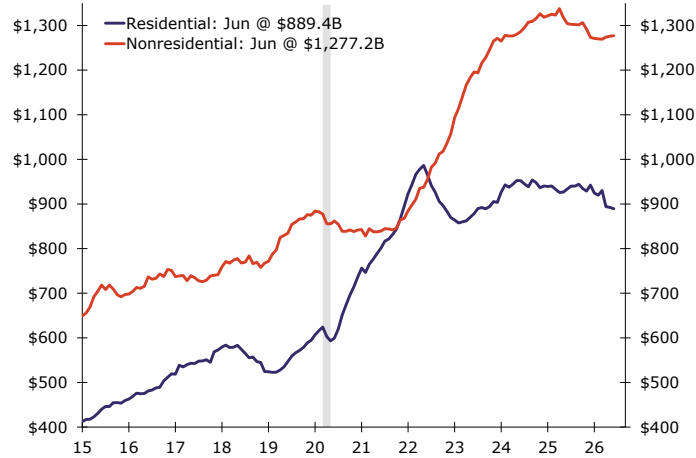
Investment: Nonresidential Structures

- We have modestly taken up our forecast for nonresidential structures. Although commercial construction is likely to remain pressured by high interest rates, the AI buildout should continue to lift overall growth in the year ahead.

Structures investment appears to be stabilizing. Private nonresidential construction spending was essentially flat in Q2 after declining for most of the prior year. There are plenty of crosscurrents, with put-in-place spending on traditional office and warehouse construction remaining subdued and lodging and retail outlays leveling out. On the other hand, data center and power construction remains robust as the AI buildout continues to show few signs of slowing. Meantime, manufacturing activity appears to be starting to improve, reflecting semiconductor shortages and a strengthening pipeline of electronics manufacturing projects. What's more, energy investment is becoming more supportive as the number of active rotary rigs inches higher.

Residential & Nonresidential Construction

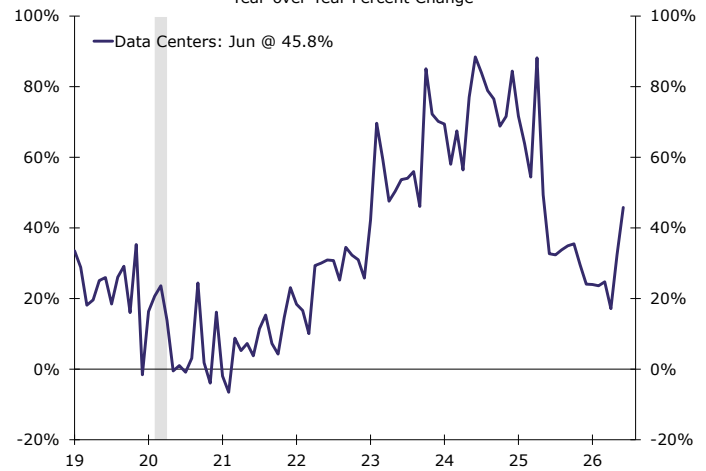
Billions of Dollars, SAAR



Source: U.S. Department of Commerce and Wells Fargo Economics

Data Center Construction Spending

Year-over-Year Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

Net Exports & Trade

- Trade will remain a drag on growth as AI-related imports surge and evolving inventory management signals a broader recovery in imports, keeping the trade deficit on a widening path.

Trade flows continue to be dominated by AI-related investment and tariff-driven inventory management. The former has fueled a surge in imports over the past year, and total imports sliced roughly a full percentage point off of Q2 real GDP growth. We expect AI-related imports to remain strong, while inventory management shifts from tariff front-running to inventory rebuilding as businesses replenish stocks drawn down in recent quarters and begin to adapt to a more persistent tariff regime. Exports remain supported by industrial supplies and capital equipment. While tariff headlines remain plentiful, recent developments have largely reflected changes to legal authority rather than meaningful shifts in the effective tariff rate.

Labor Market

- We have modestly lowered our payroll growth forecast following July's employment report but continue to expect the unemployment rate to end the year at 4.2%.

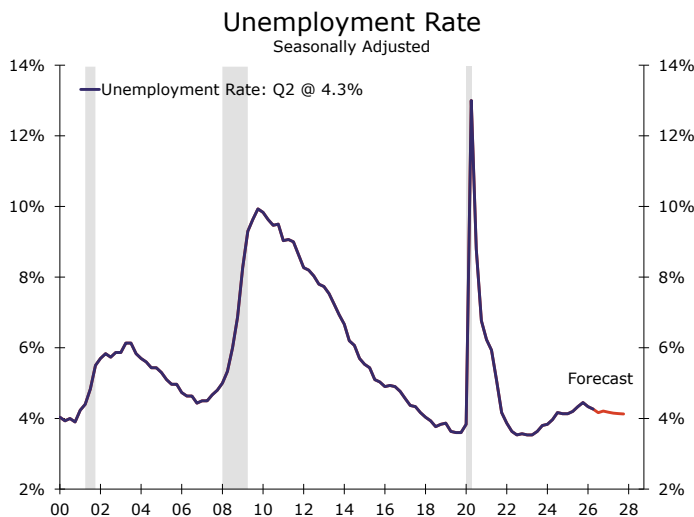
The July employment report revealed a labor market with less momentum than previously thought, although the slowdown appears more pronounced than in alternative measures of hiring. Demand for new workers appears little changed based on recent job openings/postings and mixed PMI employment readings, but layoff data broadly point to an easing pace of job cuts. We expect payroll growth to average roughly 65K per month over the remainder of the year, nearly in line with its 60K year-to-date average and sufficient to keep labor demand and supply broadly in balance. As hiring stabilizes, we expect labor force participation to recover modestly, which would push the unemployment rate up to 4.2% by year-end. Even with the uptick, the unemployment rate would remain within its recent range and consistent with a labor market operating near maximum employment.

Inflation

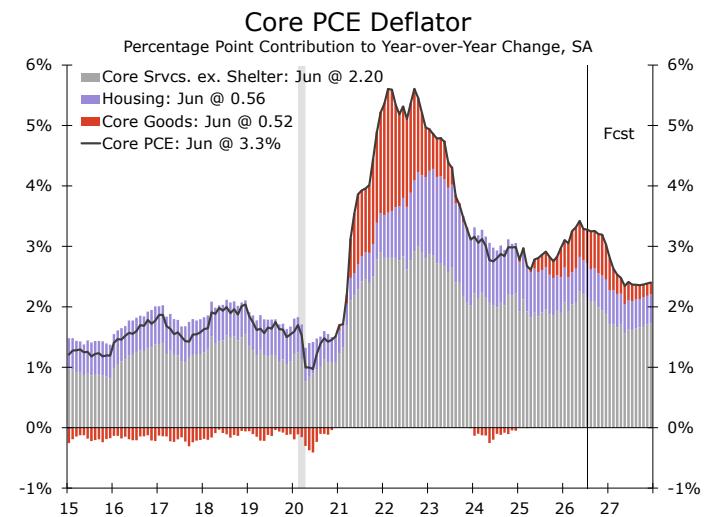
- We expect core PCE inflation to end 2026 at 3.1% on a Q4/Q4 basis.

Recent inflation data suggest the peak in inflation associated with higher tariffs and the conflict in the Middle East is mostly behind us. The path of headline inflation remains tied to the ebbs and flows of the conflict, although the pass-through of higher energy costs into food and core components has been limited. Core goods inflation is showing signs of cooling as the initial tariff shock fades and recent tariff adjustments leave the effective tariff rate little changed. While AI-related investment continues to put upward pressure on a handful of tech-related categories prominent in the PCE deflator, those price pressures remain narrowly concentrated. Meanwhile, core services inflation continues to moderate as shelter inflation cools and slower labor cost growth tempers price pressures.

in other services. Taken together, inflation pressures appear less widespread than earlier this year, but continued strength in a handful of categories is likely to keep progress toward 2% gradual.



Source: U.S. Department of Labor and Wells Fargo Economics



Source: U.S. Department of Commerce and Wells Fargo Economics

Fiscal Policy

- It appears more likely than not that Congress and the White House will avoid a government shutdown starting on October 1. But, the next Republican-led budget reconciliation bill looks increasingly likely to be a post-midterms event, if it happens at all.

Both chambers of Congress are on recess for approximately the next month. When they return after Labor Day, they will face a tight schedule: another recess is scheduled for early October through the midterm elections on November 3. Before leaving town, the Senate passed a continuing resolution that would extend government funding through December 11. Assuming the House passes this bill in September, this would stave off the threat of another government shutdown through at least early December.

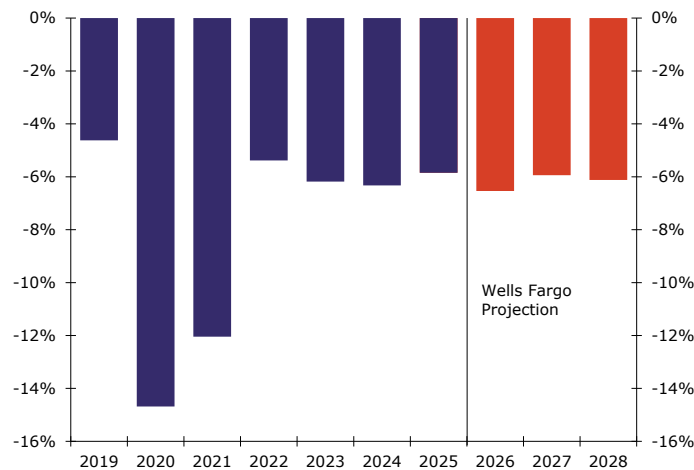
However, the Senate did not pass a budget resolution before starting its August recess. This means that the next Republican-led budget reconciliation bill is stalled until further notice. The House-passed budget resolution contained reconciliation instructions that would permit up to \$95 billion of new spending, mostly on national defense related initiatives. Given the tight calendar between now and Election Day as well as intraparty disagreements on what to include in the reconciliation bill, we suspect the Senate may remain on hold on this topic for the next few months, see how the election plays out, and then take one more pass at a budget reconciliation bill in the lame duck session.

Monetary Policy & Interest Rates

- We still project no change in the fed funds rate through year-end 2027. Our 2026 and 2027 year-end forecasts for the 10-year Treasury yield have risen modestly, to 4.45% and 4.40%, respectively.

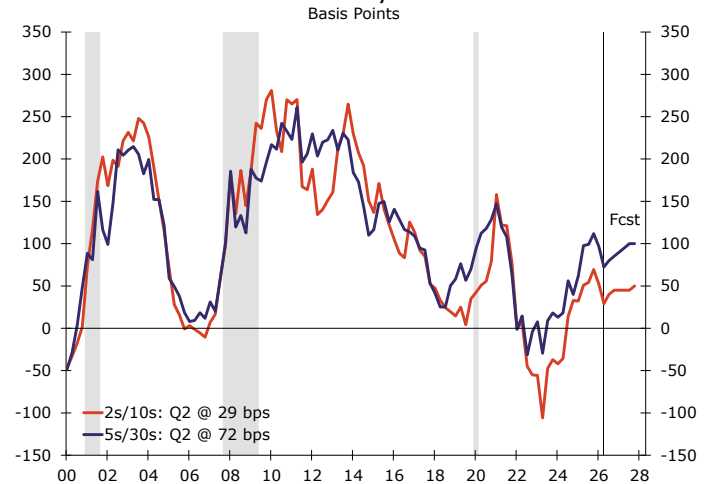
Given our forecast for the Fed to remain on hold in the coming months, our base case is for the Treasury yield curve to modestly bull steepen as rate hikes are slowly priced out of the market. That said, the risks are skewed toward a small mid-cycle adjustment of 50-75 bps of rate hikes from the FOMC. Furthermore, a variety of structural factors are putting upward pressure on long-term yields, specifically real yields. These include large federal budget deficits, elevated monetary policy uncertainty, surging corporate bond issuance, and macro forces from abroad (e.g., Japan), among others. We covered this topic in more detail in a recent Daily, which can be found [here](#). Accordingly, we have added a bit more term premium into our forecasts for longer-term yields to better reflect these dynamics.

U.S. Federal Budget Deficit as a Share of GDP



Source: Congressional Budget Office and Wells Fargo Economics

U.S. Treasury Curves



Source: Bloomberg Finance L.P. and Wells Fargo Economics

International Developments

- We have raised our global GDP growth forecast to 2.8% and kept our global CPI inflation forecast unchanged at 4.3% for 2026.

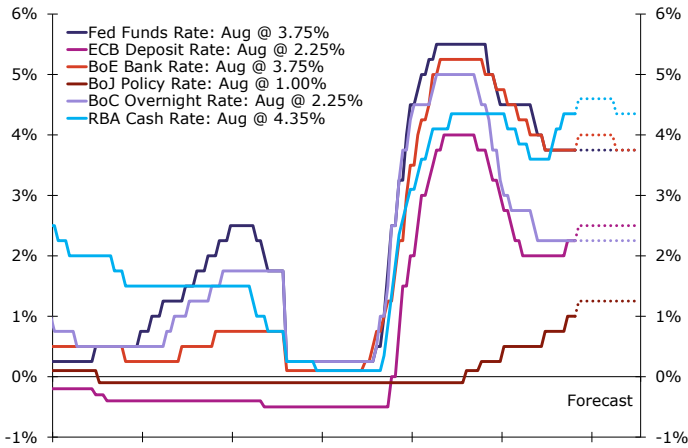
The conflict in the Middle East remains a large driver of global growth trends, though stronger-than-expected economic resilience in H1-2026, supported by precautionary stockpiling, resilient AI-driven activity (U.S., Japan and Australia) and higher defense spending (Eurozone and Japan), have partially offset the drag. We still expect inflation to recede in the coming months and average 3.8% in 2027, though energy prices remain volatile and well above pre-war levels. Risks are tilted to the upside as El Niño and higher fertilizer costs add pressure to food prices, while AI-related demand raises semiconductor and microchip costs.

Global central banks remain in a precarious position as they balance weaker growth against persistent inflation. Policymakers have stressed that monetary policy has limited scope to address supply shocks, but a succession of negative supply shocks presents a more complex challenge than a one-off event. Even so, most central banks continue to favor a wait-and-see approach as they assess the evolution of oil prices and the risk of second-round effects. Tighter financial conditions (U.S., U.K. and Australia) are also doing some of the work of monetary policy and giving policymakers more time to evaluate how the shock evolves.

Even so, maintaining broadly steady real rates may require some central banks to raise nominal rates. We continue to expect final hikes for these tightening cycles from the European Central Bank, Reserve Bank of Australia and Bank of Japan before year-end. We also continue to see the potential for a short Bank of England (BoE) hiking cycle, despite policymakers' baseline expectation that the Bank Rate will remain unchanged this year. The Ofgem price cap has delayed some of the pass-through from higher energy prices, while growing upside risks to food prices increase the likelihood of second-round effects. More resilient growth could also give the BoE confidence that the economy can withstand some additional tightening. In contrast, we expect the Bank of Canada to remain on hold as core inflation has remained contained with little signs of a renewed broadening in price pressures.

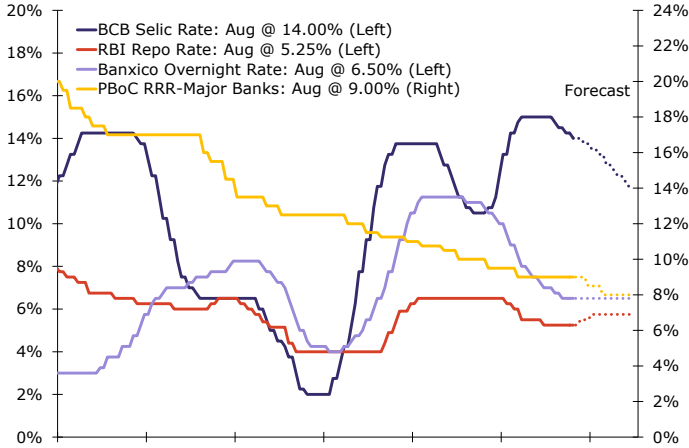
Emerging market central banks face the same global shocks but are charting increasingly different policy paths. We continue to expect further easing from the People's Bank of China as soft domestic demand and persistent property-sector weakness outweigh strong fiscal support and an AI-related surge in exports. We also expect Brazil's central bank to continue cutting rates, though increased fiscal spending ahead of the elections should slow the pace of easing and could lead to an even more gradual path in 2027. In India, a weaker rupee and wider trade deficit keep the possibility of Reserve Bank of India rate hikes in play. We continue to expect Banxico to remain on hold, though risks are tilted toward easing if growth fails to rebound as expected and inflation slows further.

Advanced Economies Policy Rates



Source: Bloomberg Finance L.P. and Wells Fargo Economics

EM Central Bank Policy Rates



Source: Bloomberg Finance L.P. and Wells Fargo Economics

Wells Fargo International Economic Forecast

	GDP				CPI			
	2024	2025	2026	2027	2024	2025	2026	2027
Global (PPP Weights)	3.5%	3.5%	2.8%	2.9%	5.8%	4.1%	4.3%	3.9%
Advanced Economies ¹	1.9%	1.9%	1.7%	2.0%	2.6%	2.5%	3.2%	2.3%
United States	2.8%	2.1%	2.3%	2.5%	3.0%	2.7%	3.3%	2.1%
Eurozone	1.0%	1.2%	0.9%	1.3%	2.4%	2.1%	3.3%	2.4%
United Kingdom	1.0%	1.3%	1.1%	1.1%	2.5%	3.4%	3.5%	2.8%
Japan	-0.2%	1.1%	0.6%	0.7%	2.7%	3.2%	2.1%	2.2%
Canada	2.0%	1.9%	0.8%	1.9%	2.4%	2.1%	2.6%	2.1%
Australia	1.0%	2.0%	1.9%	1.6%	3.2%	2.8%	4.1%	3.0%
Developing Economies ¹	4.5%	4.5%	3.5%	3.5%	8.0%	5.2%	5.1%	4.9%
China	5.0%	5.0%	4.5%	4.3%	0.2%	0.0%	1.1%	1.1%
India	6.7%	7.5%	7.1%	6.9%	4.6%	2.1%	4.7%	4.6%
Mexico	1.5%	0.5%	1.2%	1.9%	4.7%	3.8%	4.1%	4.0%
Brazil	3.4%	2.3%	2.0%	1.9%	4.4%	5.0%	5.0%	4.0%

Forecast as of: August 13, 2026

¹Aggregated Using PPP Weights

Source: International Monetary Fund and Wells Fargo Economics

Wells Fargo International Interest Rate Forecast

(End of Quarter Rates)

	Central Bank Key Policy Rate						
	2026			2027			
	Current	Q3	Q4	Q1	Q2	Q3	Q4
United States	3.75%	3.75%	3.75%	3.75%	3.75%	3.75%	3.75%
Eurozone ¹	2.25%	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%
United Kingdom	3.75%	3.75%	4.00%	4.00%	4.00%	3.75%	3.75%
Japan	1.00%	1.00%	1.25%	1.25%	1.25%	1.25%	1.25%
Canada	2.25%	2.25%	2.25%	2.25%	2.25%	2.25%	2.25%
Australia	4.35%	4.60%	4.60%	4.60%	4.60%	4.35%	4.35%
China ³	9.00%	9.00%	8.50%	8.50%	8.00%	8.00%	8.00%
India	5.25%	5.25%	5.50%	5.75%	5.75%	5.75%	5.75%
Mexico	6.50%	6.50%	6.50%	6.50%	6.50%	6.50%	6.50%
Brazil	14.00%	14.00%	13.75%	13.25%	12.75%	12.25%	11.75%
	2-Year Note						
	2026			2027			
	Current	Q3	Q4	Q1	Q2	Q3	Q4
United States	4.19%	4.05%	3.90%	3.85%	3.85%	3.85%	3.85%
Eurozone ²	2.77%	2.70%	2.65%	2.60%	2.55%	2.50%	2.45%
United Kingdom	4.30%	4.20%	4.10%	4.00%	3.95%	3.85%	3.80%
Japan	1.65%	1.50%	1.55%	1.55%	1.55%	1.55%	1.60%
Canada	3.00%	2.75%	2.65%	2.60%	2.55%	2.50%	2.45%
	10-Year Note						
	2026			2027			
	Current	Q3	Q4	Q1	Q2	Q3	Q4
United States	4.66%	4.55%	4.45%	4.40%	4.40%	4.40%	4.40%
Eurozone ²	3.14%	3.15%	3.10%	3.10%	3.05%	3.05%	3.00%
United Kingdom	4.95%	4.95%	4.90%	4.85%	4.80%	4.75%	4.70%
Japan	2.86%	2.75%	2.80%	2.85%	2.85%	2.90%	2.90%
Canada	3.68%	3.50%	3.45%	3.45%	3.40%	3.40%	3.35%

Forecast as of: August 13, 2026

¹ ECB Deposit Rate ² German Government Bond Yield ³ Reserve Requirement Ratio Major Banks

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Securities, LLC ("Wells Fargo Securities"). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. Wells Fargo Securities distributes this report directly and through affiliates including, but not limited to, Wells Fargo & Company, Wells Fargo Bank, N.A., Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our internal client website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by Wells Fargo Securities. Wells Fargo Securities does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of Wells Fargo Securities.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by Wells Fargo Securities to be reliable, but has not been independently verified by Wells Fargo Securities, may not be current, and Wells Fargo Securities has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of Wells Fargo Securities and may differ from the views and opinions of other departments or divisions of Wells Fargo Securities and its affiliates. Wells Fargo Securities is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither Wells Fargo Securities nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. Wells Fargo Securities is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

You are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for your own use and for no other purpose. Without the prior written consent of Wells Fargo Securities, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. "AI Technologies" means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment. In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by Wells Fargo Securities, its affiliates or one or more third parties (collectively, "Protected Content"). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from Wells Fargo Securities or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. All rights not expressly granted herein are reserved by Wells Fargo Securities or the third-party providers from whom Wells Fargo Securities has obtained the applicable information. © 2026 Wells Fargo Securities, LLC

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority ("FCA"). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE